

Information Technology

FPT Corporation (HOSE:FPT)



Innovating Digital Transformation

We issue an **Overweight** rating for FPT Corporation (FPT, FPT.HM) with a target price of VND115,000, with a 24.9% upside from the current price. FPT's digital transformation and global IT services continue to grow, supported by government initiatives.

- **Positive Macroeconomic Outlook:** Despite headwinds experienced by tariffs, the IT industry is expected to maintain positive growth as software services and solutions are not affected, compounded by a favorable legislative environment and government initiatives.
- **Diverse Product Offerings:** FPT provides a wide range of technology services, spanning software development, IT infrastructure, cloud services, education, and telecommunications, and continues to invest in new markets like automotive software and LLMs, helping diversify revenue streams and reducing reliance on a single business segment.
- **Strategic Growth:** FPT's most profitable segment continues to be its digital transformation consulting, exporting its technology abroad to foreign markets across 30 countries, creating a competitive moat among other domestic technology companies that shields FPT's finances from an oversaturated local industry.
- **Leveraging Government Support:** Following the four horsemen of government initiatives designed to benefit the local IT industry (57-NQ/TW, 59-NQ/TW, 66-NQ/TW, 68-NQ/TW), FPT is already capitalizing by entering into public-private partnerships with the likes of the National Innovation Center (NIC) and winning contracts with other major tech companies like NVIDIA to further cement itself as a major software provider for Vietnam and abroad.

FPT Corporation (FPT, FPT.HM)

FYE Dec	2024	2025F	2026F	2027F
Revenue	62,963	71,199	82,822	97,637
Revenue YoY (%)	19.6%	13.1%	16.3%	17.9%
NPAT-MI	7,857	9,224	10,898	12,781
NPAT-MI YoY (%)	21.5%	17.4%	18.1%	17.3%
ROE (%)	23.9%	22.8%	22.1%	21.9%
EPS (VND/share)	4,944	5,252	6,256	7,449
EPS YoY (%)	22.0%	6.2%	19.1%	19.1%

Source: FPT, LSEG Workspace, SEF estimates

Overweight

FPT, FPT.HM

Price: VND92,100

Target Price: VND115,000

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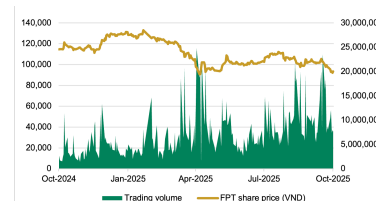
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Price Performance



Period	YTD	1m	3m	12m
Abs	-28.9%	-9.5%	-9.0%	-18.6%
Rel (vs VNI)	-58.8%	-7.4%	-28.1%	-48.2%

Company Data

Price (VND)	92,100
52W High (VND)	134,500
52W Low (VND)	84,320
Market Cap (VNDbn)	159,029
Shares O/S (mn)	1,704
P/E (TTM)	18.25
Dividend Yield (%)	1.86%

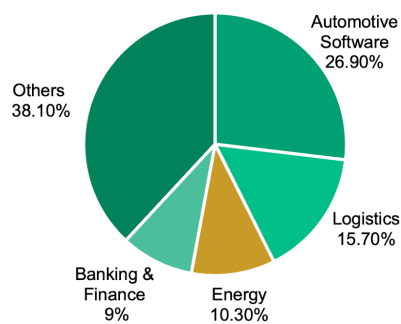
See page 17 for important disclosures.

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Key Activities
Data centers and IT infrastructure

Figure 17: FPT IT services Revenue by Sector

Source: FPT



FPT has been carving out through public-private partnerships with the government to pursue IT solutions to enhance efficiency in public infrastructure and with domestic service providers. The National Innovation Center (NIC) signed a contract with FPT in March 2025 to launch the Vietnam Semiconductor Innovation Center (VSIC) and the FPT-Alchip Oversea Design Center (FPT-Alchip ODC), aiming to produce 15,000 engineers by 2030. FPT has fully put into operation two AI facilities in Vietnam and Japan to produce semiconductors and chips, as well as continue to invest in more data centers and AI factories domestically and abroad.

The work done in the Japanese AI facility and the partnership with NVIDIA shows promising signs, as well as working towards integrating end-user AI across its products ecosystem by 2027. With the aim to train 50,000 AI engineers and 500,000 people with AI skills and knowledge by 2030, its Education segment has been developing courses specifically tailored to it in FPT Polytechnic and FPT University, as well as collaborating with JetKing India and MIT.

Figure 18: Domestic Cloud Computing Market

Source: FPT Digital

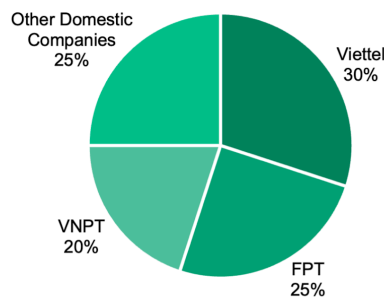
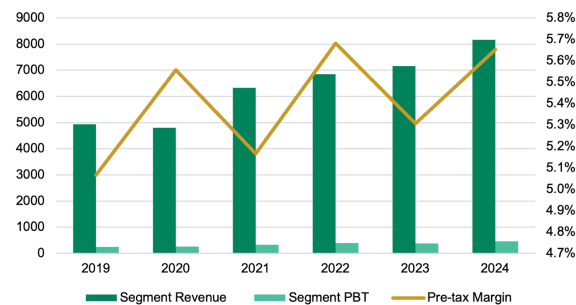


Figure 19: Domestic IT services Revenue and Profit Margin

Source: FPT, LSEG Workspace



Summary of Financial Statements

Source: FPT, LSEG Workspace, SEF estimates

Note: VND in billions (except share data); fiscal year ends Dec

Income Statement							
	2021	2022	2023	2024	2025F	2026F	2027F
Revenue	35,671	44,023	52,625	62,963	71,199	82,822	97,637
Cost of Goods Sold	-22,025	-26,842	-32,298	-39,150	-43,567	-50,719	-60,641
Gross Profit	13,632	17,167	20,320	23,698	27,240	31,975	37,747
Sales & Marketing Expenses	-3,605	-4,526	-5,242	-6,116	-7,509	-8,590	-10,728
General & Admin Expenses	-4,612	-5,846	-6,625	-7,074	-7,945	-9,298	-10,877
Operating Profit	5,415	6,795	8,453	10,508	11,786	14,087	16,142
Financial Income	1,271	1,999	2,336	1,936	2,072	2,217	2,372
Financial Expenses	-1,144	-1,687	-1,718	-1,812	-2,025	-2,457	-2,869
- Incl. Interest Expense	-484	-646	-833	-552	-1,284	-1,500	-1,655
Joint Venture & Associates	687	484	42	393	662	770	908
Net Other Income	109	73	91	45	128	149	176
Profit Before Tax	6,337	7,662	9,203	11,070	13,073	15,509	18,358
Income Tax	-922	-1,171	-1,415	-1,642	-1,933	-2,311	-2,789
NPAT Before MI	5,415	6,491	7,788	9,428	11,140	13,198	15,569
Minority Interest	-1,012	-1,181	-1,323	-1,571	-1,916	-2,300	-2,788
NPAT-MI	4,403	5,310	6,465	7,857	9,224	10,898	12,781
EBITDA	7,981	9,495	11,490	13,605	15,245	18,039	20,976
Earnings Per Share (VND)	2,727	3,342	4,052	4,944	5,252	6,256	7,449
Dividends Per Share (VND)	1,869	1,833	1,870	1,863	2,170	2,311	2,645
DPS/EPS (%)	68.5%	54.8%	46.2%	37.7%	41.3%	36.9%	35.5%
Ratio Analysis							
	2021	2022	2023	2024	2025F	2026F	2027F
Growth YoY							
Revenue	19.6%	23.4%	19.5%	19.6%	13.1%	16.3%	17.9%
Operating Profit (EBIT)	9.8%	25.5%	24.4%	24.3%	12.2%	19.5%	14.6%
Earnings Per Share	21.7%	22.6%	21.2%	22.0%	6.2%	19.1%	19.1%
Profit Before Tax	20.4%	20.9%	20.1%	20.3%	18.1%	18.6%	18.4%
Profitability							
Profit Before Tax Margin	17.8%	17.4%	17.5%	17.6%	18.4%	18.7%	18.8%
EBIT Margin	15.2%	15.4%	16.1%	16.7%	16.6%	17.0%	16.5%
EBITDA Margin	22.4%	21.6%	21.8%	21.6%	21.4%	21.8%	21.5%
NPAT-MI Margin	12.3%	12.1%	12.3%	12.5%	13.0%	13.2%	13.1%
Return on Equity (ROE)	22.0%	22.6%	23.3%	23.9%	22.8%	22.1%	21.9%
Return on Assets (ROA)	9.2%	10.1%	11.6%	11.9%	12.6%	13.8%	14.3%
Efficiency							
Days Inventory On Hand	25.4	25.9	22.0	17.6	17.4	17.7	17.9
Accounts Receivable Days	67.3	61.9	61.5	61.0	62.0	61.1	60.7
Payable Days	47.2	41.3	32.8	32.8	38.5	37.2	36.7
Cash Conversion Cycle	45.5	46.6	50.6	45.9	40.9	41.7	41.9
Liquidity							
Current Ratio	1.2	1.3	1.2	1.3	1.3	1.3	1.3
Quick Ratio	1.1	1.1	1.1	1.2	1.2	1.2	1.2
Cash Ratio	0.9	0.8	0.8	0.9	0.9	0.9	0.9
Debt/Assets	0.4	0.2	0.2	0.2	0.3	0.3	0.3
Debt/Capital	0.5	0.3	0.3	0.3	0.3	0.3	0.3
Net Debt/Equity	-0.3	-0.3	-0.3	-0.5	-0.3	-0.3	-0.3
Interest Coverage	10.5	10.5	10.1	19.0	9.2	9.4	9.8
Balance Sheet							
	2021	2022	2023	2024	2025F	2026F	2027F
Cash & Cash Equivalents	5,418	6,890	8,280	9,315	10,350	12,388	15,838
Short Term Investments	20,731	13,047	16,104	21,785	22,784	26,503	31,244
Accounts Receivables	6,882	8,053	9,674	11,382	12,816	14,908	17,575
Inventories	1,507	1,966	1,593	1,857	2,088	2,496	2,970
Other Current Assets	580	982	1,055	1,197	1,139	1,325	1,562
Total Current Assets	35,118	30,938	36,706	45,536	49,177	57,620	69,189
Gross Fixed Assets	19,796	22,899	26,455	31,012	32,617	36,788	43,285
- Depreciation	-7,939	-9,578	-11,249	-13,304	-16,560	-20,832	-25,904
Net Fixed Assets	11,857	13,321	15,206	17,708	16,057	15,956	17,381
Long Term Investments	3,102	3,238	3,335	3,318	4,096	4,602	5,200
Other Long Term Assets	3,621	4,154	5,036	5,438	6,920	7,137	5,751
Total Long Term Assets	18,580	20,713	23,577	26,464	27,073	27,695	28,332
Total Assets	53,698	51,651	60,283	72,000	74,464	83,669	94,553
Accounts Payable	2,866	3,209	2,603	4,424	4,774	5,558	6,646
Short Term Debt	17,799	10,904	13,838	14,446	18,294	21,647	25,171
Other Short Term Liabilities	9,096	10,408	13,211	15,966	15,664	18,221	21,480
Total Current Liabilities	29,761	24,521	29,652	34,836	38,732	45,426	53,297
Long Term Debt	2,296	1,478	208	501	501	501	501
Other Long Term Liabilities	223	295	490	935	935	935	935
Total Liabilities	32,280	26,294	30,350	36,272	40,168	46,862	54,733
Preferred Equity	0	0	0	0	0	0	0
Paid-in Capital	9,075	10,970	12,700	14,711	17,040	17,070	17,110
Share Premium	50	50	50	50	50	50	50
Retained Earnings	7,000	7,712	8,674	11,031	16,473	22,903	30,444
Other Equity	1,857	2,392	3,583	4,001	4,401	4,841	5,325
Minority Interest	3,477	4,310	4,959	5,933	7,120	8,544	10,252
Total Equity	21,459	25,434	29,966	35,726	45,084	53,408	63,181
Liabilities & Equity	53,739	51,728	60,316	71,998	85,252	100,270	117,914
Shares Outstanding (mn)	908	1,097	1,270	1,471	1,704	1,707	1,711
Treasury Shares (mn)	0	0	0	0	0	0	0
Cash Flow							
	2021	2022	2023	2024	2025F	2026F	2027F
Beginning Cash Balance	4,686	5,418	6,456	8,279	9,315	12,388	15,838
Net Income	4,337	5,310	6,465	7,857	9,301	11,174	13,376
Depreciation & Amortisation	1,644	1,833	2,287	2,535	2,984	3,387	3,938
Δ in Working Capital	1,183	-377	876	2,462	-1,559	655	969
Other Adjustments	-1,324	-1,712	-111	-1,150	-410	-1,302	-5,319
Cash from Operations	5,840	5,054	9,517	11,704	10,316	13,914	12,964
Net Capital Expenditures	-2,914	-3,221	-4,007	-3,289	-5,445	-5,468	-6,244
Net Investments	-7,499	8,978	-2,541	-5,173	-2,030	-156	-1,127
Cash from Investments	-10,413	5,757	-6,548	-8,462	-7,475	-5,624	-7,371
Dividends Paid	-1,695	-2,010	-2,931	-3,292	-3,471	-3,723	-4,674
Δ in Share Capital	1,235	1,895	1,730	2,011	2,329	30	40
Δ in Short Term Debt	5,737	-6,895	2,934	608	3,848	3,353	3,524
Δ in Long Term Debt	1,618	-818	-1,270	293	0	0	0
Other Financing	6,895	-7,828	463	-380	2,706	-4,719	-3,999
Cash from Financing	5,365	-9,773	-1,168	-2,198	-2,118	-4,379	-2,889
Net Change in Cash	732	1,022	1,823	1,036	723	3,911	2,704
Ending Cash Balance	5,418	6,440	8,279	9,315	10,038	16,299	18,542

Overview

FPT's financial performance has demonstrated consistent double-digit growth rates since 2021, which are expected to continue through 2027, backed by steady growth through revenue, NPAT-MI and EBITDA. Regarding ratios, FPT's Net Debt and Equity ratio shows that the company holds more cash than debt, which decreases interest expenses, minimises default risk, and improves its ability for future investments. Metrics like days inventory on hand and accounts receivable days are declining, suggesting improved turnover and management of working capital.

However, given FPT's aggressive M&A strategy and the market's high volatility, FPT's growth poses a risk if the expected returns of the acquisition fail to materialize.